COUNTING THE COST

A Plain Guide to Knowing Your Numbers,

Finding the Bottleneck, and Keeping More of What You Earn

THE PLAIN OFFICE

Bookkeeping & Business Support for Plain Communities

For which of you, intending to build a tower, sitteth not down first, and counteth the cost, whether he have sufficient to finish it?

— Luke 14:28

This booklet is for the owner of a growing Plain business — a shop with a crew, a construction outfit, a manufacturing floor, a store, a farm with hired help — the kind of operation where the work has outgrown the office that is supposed to keep up with it. It is about what your books should be telling you and usually are not, where money hides in a busy business, and how to find the one place in your operation that is holding back all the rest.

It is written plainly, because that is how we talk and how we work. The examples and numbers in these pages are drawn from real situations but simplified for print; no client's private figures appear in this booklet, and none ever will.

You may read it, keep it, and use every idea in it without ever contacting us. If you do want help, the last page tells you how to ask. Either way, we wish you well in your work.

What is in this booklet

1. The Evening Ledger

Consider a shed builder we will call Levi — not one man, but a figure made of many men we have met. Levi runs a shop and two crews, eight men besides himself. His sheds are known three counties over, his crews show up when they say they will, and his customers send their neighbors. By every measure that shows, the business is a success.

But there is a second business inside Levi's business, and it runs on a desk in the corner of the shop — and, too many evenings, in Levi's head after the place has gone quiet. Eight men generate a river of paper: invoices that should have gone out Tuesday, material bills from three suppliers, two crews' hours to track, quotes waiting to be figured, a note from the bank. A helper does what she can with the filing, between answering the phone. A customer took delivery in March and has not paid, though nobody has noticed, because keeping up leaves no time for looking back. At tax time, the whole year lands in boxes on an accountant's desk, and Levi pays a rush fee to be told what happened twelve months ago.

Levi is not careless. He is busy — busy running the very work that earns the money. With eight men to keep working, the paperwork loses the contest for his attention every single day, because a crew standing idle in the yard will always matter more than a ledger waiting on the desk.

Here is the trouble: the cost of an outgrown office is not the bookkeeper's fee you saved. It is the $16,200 sitting in unpaid invoices nobody chased. It is the premium on coverage you are required to carry, creeping up three years running because nobody asked why. It is the price you did not raise because you could not tell whether the big jobs were making money or just making noise. It is decisions made blind.

A man would not run a sawmill without a tape measure. Yet many good businesses are run without working numbers — measured once a year, after the lumber is already cut.

This booklet is about fixing that, whether you fix it with us or without us.

2. What Good Books Are For

A false balance is abomination to the LORD: but a just weight is his delight. — Proverbs 11:1

Most businesses keep books for one reader: the tax man. The records get done because they must be done, the same way a boy sweeps the shop when he is told to. But books kept only for the tax man are like the fire extinguisher a man buys only because the inspector requires it: it hangs by the door, nobody ever checks the charge, and the day it is truly needed it turns out to be technically present and practically useless.

Good books are kept for the owner. They exist to answer, in plain language and while there is still time to act, the questions you actually carry around:

- Am I making money — and on which work? Some jobs pay for the others. Do you know which?
- Who owes me, and for how long? Money owed to you is your money, resting in another man's pocket.
- What do I owe, and when? No surprises at the feed mill or the lumber yard.
- Can I afford it? The new planer, the second crew, the addition — counted before building, not after.
- What changed? If fuel, insurance, or materials creep upward, you should hear about it the month it starts, not the year it ends.

There is stewardship in this, not vanity. The same faithfulness that keeps a fence mended keeps an honest, current set of accounts. A business that supports a family and employs the neighbors' sons deserves to be measured with a just weight — and the man who carries the responsibility deserves to see the measurements.

3. Ten Signs Your Bookkeeping Is Falling Short

Perhaps you already have a bookkeeper, or an accountant, or a capable wife or daughter keeping the ledger. Often that works well. But 'the books get done' and 'the books are working for you' are two different things. Here are ten signs of the difference. Be honest as you read; no one is watching.

1. You see your numbers once a year, at tax time — a scramble of boxes, guesswork, and rush fees. By then every mistake is a year old and every opportunity is gone.
2. The reports you do get are unreadable. Columns of accounting words with no explanation of what they mean for your business.
3. Nobody watches who owes you. You discover slow payers when cash runs short, not when the invoice turns thirty days old.
4. You cannot tell which work makes money. Big jobs feel profitable. Feelings are not numbers.
5. Your bookkeeper records but never remarks. What happened gets written down; what it means never gets said.
6. Mistakes keep turning up. A deposit posted twice, a bill paid twice, a customer never billed at all. The errors you catch cost money; the ones you never catch cost more — and nobody is checking the checker.
7. Required costs renew themselves unexamined. The coverage you must carry, the loan interest, the telephone bill — climbing a little every year because renewal is easier than review.

8. Invoices go out late. Work finished on Friday and billed three weeks later is a free loan from you to your customer.
9. Questions take days to answer, if they are answered at all. 'What did we pay for shingles last spring?' should take minutes.
10. You do the books yourself, at night, tired — or one overwhelmed helper does them between answering the phone. A business with a crew deserves better than an office run on leftover hours.

A word of plain advice

If three or more of these describe your business, something should change — and it does not have to be us. Take this list to whoever keeps your books and ask for monthly reports, a watch on receivables, and a note each month on anything unusual. A good bookkeeper will rise to it. If they cannot, you have learned something worth knowing.

4. The Report You Ought to Get Every Month

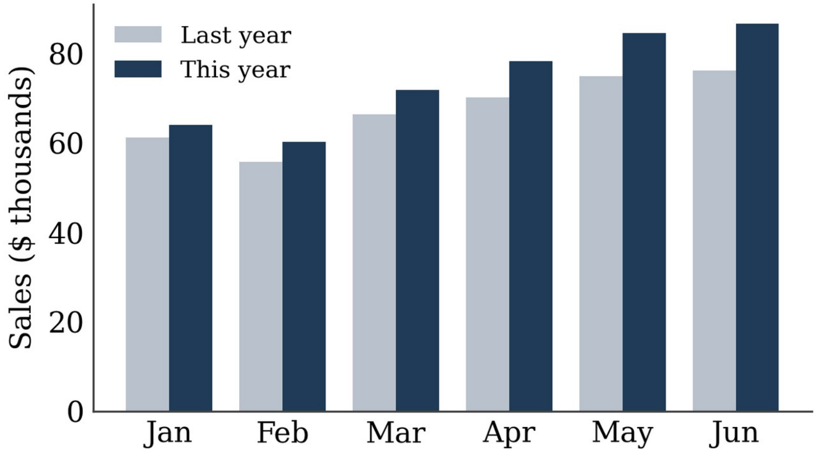
What follows is a walk through the kind of monthly report we prepare — a few pages, written in plain English, delivered however suits you: mailed, faxed, emailed, or handed over. The numbers below belong to a sample woodworking shop with a crew of eight, simplified for print. Watch what the pages do: each one answers a question an owner actually asks.

First page: what happened, in one paragraph

Every report begins with words, not columns: *"A good month. Sales of $86,700 were up 14% over last June, mostly from the two pole-barn jobs. Expenses behaved, except insurance — see page 3. One thing to watch: your customers are paying slower, and it is starting to pinch your cash. Page 4 shows it plainly."*

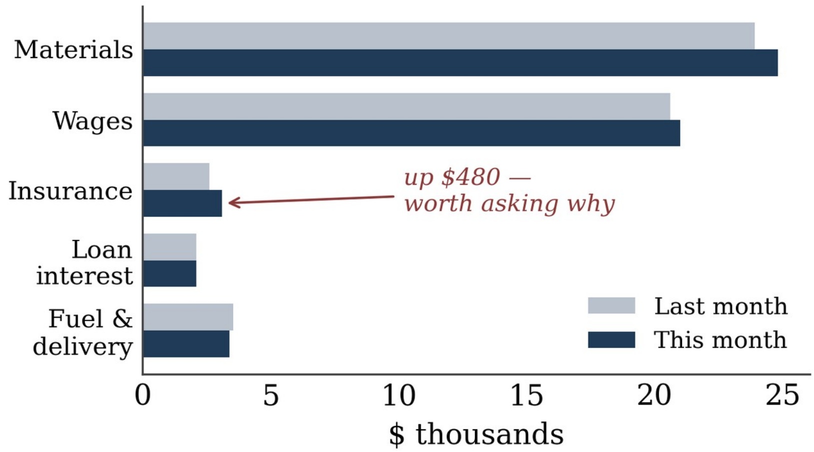
Sales, against something

A sales number alone means little. $86,700 — is that good? Against last June, you know.



Each month beside the same month last year. Growth you can see — and season against season, fair.

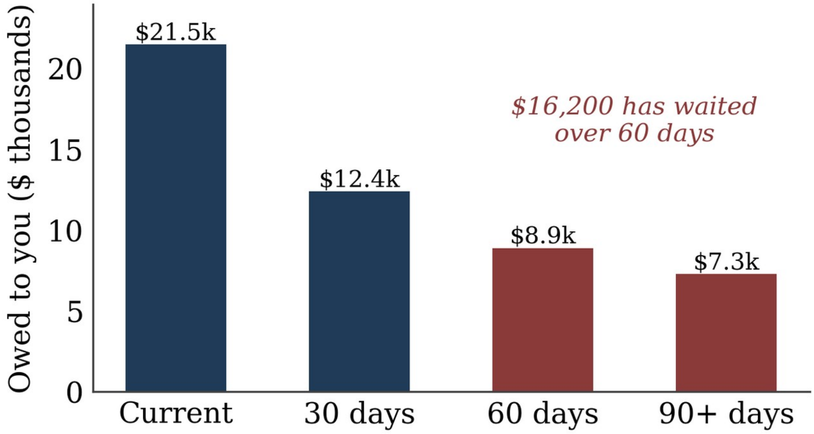
Where the money went



The five biggest expenses, this month beside last. The report flags what moved and asks the question for you.

That insurance note is the difference between recording and watching. A bookkeeper who only records would post the premium and move on. Three years of quiet increases later, you are paying $1,900 more than the man down the road for the same required coverage.

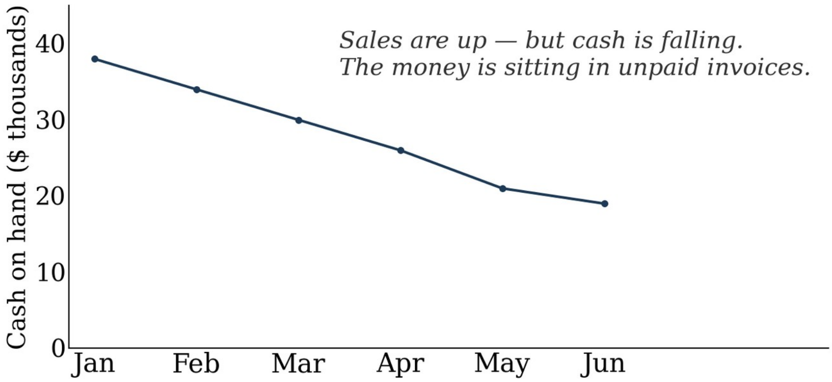
Who owes you



Owed money, sorted by how long it has waited. The right-hand bars are the ones costing you sleep.

In our sample shop, $16,200 has waited more than sixty days. In our experience a courteous statement, and then a friendly call made in your name — not a collector's call, your office calling — brings most of it home within a few weeks. Chapter 6 says more.

And the cash itself



The line an owner should never lose sight of. Sales up, cash down — the money is in the unpaid invoices.

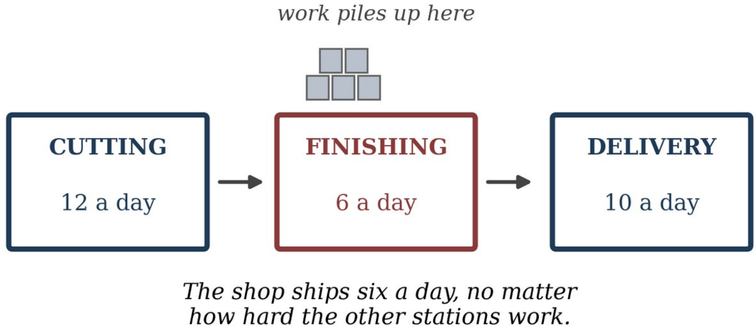
Fitted to your business, at your pace

No two businesses need the same pages. A store may want a simple weekly sheet of sales and bank balance. A builder may want each job's costs against its quote. A manufacturer may want the backlog and the shipping count beside the money. Daily, weekly, or monthly — the pace is yours. And the delivery is yours too: some of our clients want the report mailed, some want it faxed, some take it by email or keep a computer of their own, and some want a phone call with the pages left where they say. Every business is a little different, and we work the way you work — the reports are built around your business, not around somebody's software.

5. The Slowest Station Sets the Pace

Now for the idea in this booklet that may be worth the most, and it comes from watching cattle move through a gate. A herd does not cross a field any faster than the narrowest gate lets it. Widen any other gate and nothing changes. Widen the narrow one and the whole herd moves.

Every business has such a gate. A wise little book called The Goal, by Eliyahu Goldratt — a business book, but a sensible one, worth an evening of your winter — names it the constraint, or bottleneck. The rule is simple: in any operation, one point sets the pace for everything, and effort spent anywhere else is mostly wasted.



Cutting can do twelve a day and delivery ten — but the shop ships six, because finishing is the narrow gate.

The man who owns this shop feels busy everywhere, so he works harder everywhere. He sharpens the cutting station's saws — and the pile in front of finishing grows taller. Two rules follow, and they are worth memorizing:

- **An hour lost at the bottleneck is an hour lost to the whole shop.** If finishing sits idle waiting for stain, the entire business waited.

- **An hour saved anywhere else is a mirage.** It just makes the pile bigger.

So: find the narrow gate, get the most out of it before spending a dollar to widen it, put the rest of the operation in step with it, then widen it if it still needs widening — and then look again, because the narrow gate moves to a new place once you fix the old one.

What has this to do with bookkeeping? The narrow gate hides, and numbers find it. Orders grow while shipments stay flat: the gate is in the shop. Shipments grow while cash stays flat: the gate is in collections. Overtime piles up in one corner while another corner waits for work: the numbers point straight at it. And sometimes the narrow gate is not in the shop at all — it is the office itself, where quotes go out slow and invoices go out slower. That one we can widen for you directly.

Watched monthly by someone paying attention, ordinary books become a searchlight. That is the real product of good bookkeeping — not tidy records. Found bottlenecks.

6. Money Hiding in Plain Sight

Most businesses do not have a spending problem. They have a looking problem. Costs settle in like snow — quietly, a little at a time — and because each one arrives looking reasonable, nobody totals the drift. Here is where we most often find money in a Plain business:

- **Loan interest.** A note written years ago, at last decade's rate, quietly costing thousands more than today's terms. Refinancing a $180,000 note two points lower saves roughly $3,600 a year — every year.
- **Required coverage.** Many Plain businesses would sooner carry their burdens within the brotherhood than buy insurance, and we respect that. But some coverage gets carried anyway — because the law, a lender, a landlord, or a customer's contract demands it. Whatever you must carry should at least be fairly priced: required coverage re-quoted every few years, with clean records to show, routinely comes back 10–25% lower.
- **Card and payment fees.** If customers pay you by card, the processor's cut is negotiable. Few ever ask. Independent reviewers report cutting such fees by a quarter, on average.
- **Telephone and services.** Old plans, unused lines, forgotten subscriptions — small leaks, but they run day and night.
- **Slow receivables.** Money owed to you is a loan you are making, interest-free, involuntarily. Collecting thirty days sooner is the same as cash in the bank.
- **Buying alone.** Printing, forms, signs, and supplies cost more when every shop buys by itself. Group buying, through an office that serves many businesses, gets a better price than any one business can.

None of this requires genius. It requires someone whose job is to look — and who sees your whole picture because they keep your books. An outside consultant must hunt for these things. Your bookkeeper walks past them every month. The only question is whether anyone taught him to stoop and pick them up.

Our arrangement, plainly stated

We believe a man selling advice should carry some of the risk of it. So for the savings hunt, we are paid a share of what you actually save — only on findings you choose to use, and only after the savings are real in your books. Advice that earns you nothing costs you nothing.

And we ask for no long contract. Our service is month to month; a man who is not satisfied may take his books — current, clean, and his — and part as friends. We would rather keep a client by service than by signature.

7. The Office Question

Sooner or later every growing business faces the same question: who runs the office? By the time a business carries a crew of five or ten, the office is a real job — somebody is doing it, well or poorly, paid or unpaid. There are four honest answers, and each has its price.

You do it yourself, at night. Costs the least cash and the most of everything else — your evenings, your patience, and the attention your family and your trade deserve. And the work of the office is still done by a tired man doing his second job.

You hire office help. A capable office hand costs $2,500 to $4,000 a month in wages before you count the desk, the training, the vacations, and the finding of a new one when the first one leaves. One person, however good, knows one person's worth of skills.

You use a bookkeeping service. Better than a shoebox, and cheaper — but you have read chapter 3. Records without watching, numbers without meaning, and nobody chasing what you are owed.

Or the office comes to you by mail and phone. That is what we built. For less than the cost of a hired hand, your business gets a whole office: bookkeeper, report writer, bill organizer, invoice sender, letter writer, and a voice on the phone — with a watchman's eye over all of it.

What the Plain Office does

- Keeps your books, month in and month out, and reconciles every account
- Prints and mails your monthly report — the one shown in chapter 4, fitted to your business
- Creates and sends your invoices and estimates from a phone call or a note

- Sends statements and makes friendly follow-up calls, in your business's name, for money owed to you
- Prepares your bills for your approval — you stay in control of every payment
- Writes your letters: you speak your mind by phone, we put it into a proper letter and send it
- Answers a phone line for your office matters and messages
- Coordinates payroll and delivers a clean year-end package to your tax preparer
- Hunts for savings, on the terms described in chapter 6
- Supplies printing, forms, signs, and advertising design at group prices

About the machinery, honestly

You may wonder what tools we use. We will tell you plainly: modern ones, including computers, in our office. We believe you should know that, and we believe it is the right arrangement — the same as hiring an English trucking company whose trucks are theirs, not yours. Nothing is installed in your shop or home unless you want it there, and what passes between us is whatever suits you: paper, telephone, fax, or email. Some of our clients use computers of their own; some will never touch one; most are somewhere between, and every arrangement works. The machinery stays in our barn.

8. How It Works, Plainly

First, the Second Look. You send us — or we pick up — your last year's records, whatever shape they are in. We study them and return two things: a sample monthly report built from your own numbers, so you can see exactly what you would be getting, and a written list of what we found — errors, money owed you, savings worth chasing. This costs $500, credited back in full against your setup if you join us — so a serious man pays nothing extra to find out. What the Second Look finds is yours to keep either way.

Second, the setting up. We put your accounts in order, agree on what reports you want and how often, and settle the routine for getting papers back and forth. It takes a few weeks and one or two unhurried conversations.

Third, the rhythm. Your papers come to us on a steady schedule — mailed, faxed, emailed, dropped off, or picked up; we work the way you work. The books stay current. The report arrives every month. When something needs your attention, you hear about it promptly — by phone or by note, as you prefer. When you need something — an invoice sent, a letter written, a number looked up — you call, and it is done.

What it costs

A fixed monthly price, agreed in advance, in writing — no hourly charges, no surprises. Businesses with a lighter paper load generally run from $700 a month; a full office for a shop with a crew runs between $1,500 and $3,000. Measure that against the office hand's wages in chapter 7, remember the arrangement in chapter 6, and judge it as you would any other purchase: by what it returns.

We will also tell you plainly if you do not need us — some businesses are too small yet, and some already have books in good order. There is no shame in either, and we have said so to more than one man.

9. Questions Folks Ask Us

Who sees my numbers? The bookkeeper assigned to you and the senior man who reviews the work — no one else. Your figures are never discussed, compared, or shown to another soul, and we will put that promise in writing. We know what a man's business means in a small community.

We already use email — or a computer of our own. Fine. Some of our clients run spreadsheets and email; others use only paper and the telephone; most are somewhere between. We fit our ways to yours, not the other way around.

I already have a bookkeeper. Then the Second Look will tell you one of two things: that you are well served — we have said so before, and it costs you $500 to hear it with evidence — or that you deserve more than you are getting. Either answer is worth having.

Do I need a computer? No. Not now, not ever. Paper and the telephone are enough.

My books are a year behind. You are not the first, nor the hundredth. We quote the catch-up work separately and honestly, and once you are current, the monthly rhythm keeps you there.

Who are you? The Plain Office is the bookkeeping and office arm of a family of businesses that has served Plain communities for years — including design and production work for Plain publications you likely have in your home. We did not arrive yesterday, and we intend to be here in twenty years. Ask about us in the community; that is how we would judge us too.

10. The Next Step Costs a Postage Stamp

If this booklet described the desk in the corner of your shop a little too well, here is the whole next step: ask for the Second Look.

Write, telephone, fax, or email — whichever is your way. Tell us what your business does and how your books are kept now; two or three sentences is plenty. We will send you a short list of what to gather, and we will take it from there. Within a few weeks you will hold a sample report built from your own numbers and a written list of what we found. Then you will decide, at your own desk, at your own pace, with your own figures in front of you.

The Second Look costs $500, credited in full against your setup if you join us — and what it finds is yours to keep either way. Most men earn it back several times over in the first finding alone.

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Bookkeeping & Business Support for Plain Communities

Telephone: [PHONE NUMBER — staffed business hours; leave a message anytime]

Mail: [MAILING ADDRESS]

"We handle the office. You run the business."

A reply card is bound into the back of this booklet. Fill in your name, address, and trade, and drop it in the mail — postage is paid.

REQUEST THE SECOND LOOK

Fill out this card and return it by mail.

Name: ______________________________

Business name: ______________________

Trade or type of work: _________________

Mailing address: _____________________

Town, state, ZIP: _____________________

Telephone: __________________________

Best time to call: _____________________

How are your books kept now?

____

____

____

Preferred way to hear from us:

☐ Mail ☐ Telephone ☐ Fax ☐ Email

No long explanation is needed. Two or three sentences are plenty.

DETACH AND MAIL

Postage and mailing instructions will be added before printing.

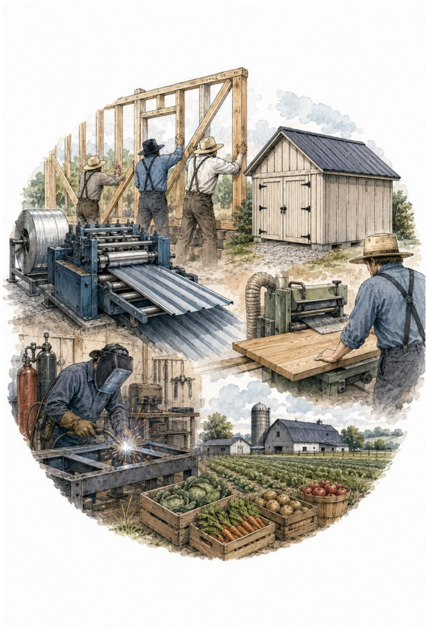
RETURN TO [MAILING ADDRESS] [CITY, STATE ZIP]	**POSTAGE AREA** Printer to add permit indicia if applicable

Your return address

Name: ______________________________

Address: ______________________________

Town, state, ZIP: ______________________________



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